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LOS ANGELES SUPERIOR
COURT

NORTH VALLEY DISTRICT

DEPARTMENT F-51

AUGUST
11, 2026

DEMURRER WITH
MOTION TO STRIKE

Los
Angeles Superior Court Case # 25CHCV04577

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Demurrer with Motion to
Strike Filed: 4/8/26

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MOVING PARTY: Defendants Alexis Antonio Quezada; and
Quezada Realty, Inc. ("Moving Defendants")

RESPONDING PARTY: Plaintiff
AHL Funding, LLC ("Plaintiff")

NOTICE: OK

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RELIEF REQUESTED: Moving

Defendants demur against the first, second, third, fourth, and sixth causes of action in Plaintiff's complaint. Moving Defendants further move to strike Plaintiff's references to punitive damages and attorney fees from the complaint.

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TENTATIVE RULING: The unopposed demurrer is overruled as to Plaintiff's sixth cause of action and sustained as to Plaintiff's first through fourth causes of action. The unopposed motion to strike is granted. Plaintiff is granted 30 days leave to amend.

BACKGROUND¿

This is a fraud action in which Plaintiff, a residential mortgage lender, alleges that while employed by real estate brokers including Moving Defendants, defendant Ricardo De La Torre submitted to Plaintiff multiple fraudulent residential mortgage loan applications. (Compl. ¶¶ 16–18.)

On 12/22/25, Plaintiff filed its complaint, alleging against five named defendants the following causes of action: (1) Fraudulent Misrepresentation; (2) Negligent Misrepresentation; (3) Fraudulent Concealment; (4) Constructive Fraud; (5) Violation of Business & Professions Code § 17200; and (6) Violation of Business & Professions Code § 10232.5.

On 4/8/26, Moving Defendants filed the instant demurrer and motion to strike. No opposition has been filed to date. On 8/5/26, Moving Defendants filed a notice of non-opposition.

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ANALYSIS

As a general matter, a party may respond to a pleading against it by demurrer on the basis of any single or combination of eight enumerated grounds, including that “the pleading does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc., § 430.10, subd. (e).) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

“A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Here,
Moving Defendants demur against the first, second, third, fourth, and sixth causes of action in Plaintiff’s complaint, arguing that Plaintiff fails to allege facts sufficient to constitute those causes of action.

I.
Meet-and-Confer

Before filing its demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc. § 430.41, subd. (a).) The demurring party must file and serve a meet and confer declaration stating either: “(A) The means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer;” or “(B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Id.

at subd. (a)(3).)

Here, Moving Defendants' counsel declares that on 3/30/26, she sent Plaintiff's counsel a meet and confer letter regarding the issues raised in the instant demurrer and motion to strike. (Decl. of Pamela Albanese ¶ 2.) On 4/3/26, Plaintiff's counsel responded, but the parties were unable to informally resolve the issues. (Id. at ¶ 3.) Therefore, the Court finds that counsel has satisfied the preliminary meet and confer requirements of Code of Civil Procedure section 430.41, subdivision (a).

II.

Fraud Causes of Action

Plaintiff's first through fourth causes of action respectively allege against Defendants: (1) Fraudulent Misrepresentation; (2) Negligent Misrepresentation; (3) Fraudulent Concealment; and (4) Constructive Fraud. The elements that must be pleaded in a cause of action for fraud are: (1) a misrepresentation (false representation, concealment or nondisclosure); (2) knowledge of its falsity (or "scienter"); (3) intent to defraud (i.e., to induce reliance); (4) justifiable reliance; and (5) resulting damage. (Philipson & Simon v. Gulsvig (2007) 154 Cal.App.4th 347, 363.) Fairness requires that allegations of fraud be pled "with particularity" so that the court can weed out nonmeritorious actions before a defendant is required to answer. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The particularity requirement necessitates pleading facts that "show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Here,

Moving Defendants argue that "Plaintiff's allegations lack the necessary detail for a fraudulent misrepresentation claim. First, Plaintiff does not specify details about the Subject Loans, such as when the loan applications were submitted, who submitted them, what documentation was provided to Plaintiff and by whom, who the borrowers are, or which properties are involved. Additionally, Plaintiff groups all Defendants together and fails to specify what misrepresentations Quezada supposedly made, how they were made, when they occurred, or to whom. There are three other named defendants in the Complaint, each with distinct roles related to the issues at different times. As a result, these vague allegations hinder Quezada's ability to mount a proper

defense—either by asserting necessary affirmative defenses or understanding how to respond to the claims.” (Dem. 8:6–14.)

The Court agrees, and notes that Plaintiff has failed to file any opposition to the instant demurrer. Based on the foregoing, the Court finds that Plaintiff has failed to allege facts sufficient to constitute its fraud causes of action with sufficient particularity. Accordingly, the demurrer is sustained against Plaintiff’s first through fourth causes of action.

III.

Violation of Business & Professions Code
section 10232.5

Plaintiff’s sixth cause of action alleges against Defendants a Violation of Business & Professions Code section 10232.5, which requires a real estate broker who negotiates a loan secured by real property to provide a written disclosure statement to the prospective lender containing truthful, complete, and accurate information, including but not limited to: a. The identity and financial information of the borrower; b. Borrower income and credit data as represented to the broker; c. Information concerning encumbrances and liens on the property; and d. Other material facts necessary for the lender to evaluate the loan. (Bus. & Prof. Code § 10232.5.)

Here, Plaintiff alleges that

“Defendants violated Business and Professions Code section 10232.5 by failing to provide AHL with truthful, complete, and accurate disclosure statements in connection with the Subject Loans.” (Compl. ¶ 98.) Moving Defendants argue that this statute does not apply because “based on the four corners of the Complaint, Quezada was merely an intermediary who transmitted the alleged loan information to Plaintiff—there is not one allegation that Quezada ‘negotiated’ the Subject Loans.” (Dem. 3–5, citing Compl. ¶ 20.) However, the Court finds that Moving Defendants overlook Plaintiff’s allegation that “Defendants were real estate agents and/or brokers performing acts described in Business and Professions Code section 10131(d), including negotiating and arranging loans to be secured by liens on real property.” (Compl. ¶ 95.)

Based on the foregoing, the Court finds that Plaintiff has alleged facts sufficient to constitute a cause of action for Violation of Business & Professions Code section 10232.5.

Accordingly, the demurrer is overruled against Plaintiff's sixth cause of action.

MOTION TO STRIKE

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id., § 437.)

Here, Moving

Defendants move to strike Plaintiff's references to punitive damages and attorney fees.

II.

Punitive Damages

Punitive

damages may be recovered in non-contract actions upon a proper showing of malice, fraud, or oppression by clear and convincing evidence. (Civ. Code § 3294, subd. (a).) "Malice" is defined as conduct intended to cause injury to a person or despicable conduct carried on with a willful and conscious disregard for the rights or safety of others. (Ibid.; *Turman v. Turning Point of Cent. Cal., Inc.* (2010) 191 Cal.App.4th 53, 63.) "Oppression" means despicable conduct subjecting a person to cruel and unjust hardship, in conscious disregard of the person's rights. (Ibid.) "Fraud" is an intentional misrepresentation, deceit, or concealment of a material fact known by defendant, with intent to deprive a person of property, rights or otherwise cause injury. (Ibid.) Punitive damages must be supported by factual allegations. Conclusory allegations, devoid of any factual assertions, are insufficient to support a conclusion that parties acted with oppression, fraud or malice. (*Smith v. Superior Court* (1992) 10 Cal.App.4th 1033, 1042; *Anschutz Entertainment Group, Inc. v. Snapp* (2009) 171 Cal.App.4th 598, 643.)

Here, Moving

Defendants argue that Plaintiff has not alleged a basis to recover punitive

damages because “the complaint fails to plead specific facts establishing that Quezada’s actions were intentional. ... Although the word ‘intentional’ is used, these allegations do not plead with any particularity that Quezada acted with an intent to deceive Plaintiff.” (MTS 5:28–6:7.) The Court agrees and again notes that Plaintiff has failed to file any opposition to the instant motion to strike. Accordingly, the motion is granted as to Plaintiff’s references to punitive damages.

III.

Attorney Fees

An award of attorney fees is proper when authorized by contract, statute, or law. (Code Civ. Proc. §§ 1032, subd. (b); 1033.5, subd. (a)(10).) Here, Defendant argues that “Plaintiff requests attorneys fees in its prayer for relief, ... [but] there is no applicable contract or statute that entitles Plaintiff to attorneys’ fees against Quezada, nor has Plaintiff cited to any relevant ones in its Complaint.” (MTS 6:24–7:1.)

The Court

agrees. Based on the foregoing, the motion is granted as to Plaintiff’s prayer for attorney fees.

LEAVE TO AMEND

Where a

demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Here, the Court notes that

Plaintiff has failed to oppose the instant demurrer and therefore has failed to meet its burden to show that it can successfully amend its complaint. Nevertheless, the Court notes that this is the first demurrer and motion to strike brought against Plaintiff’s original complaint. Accordingly, under the Court’s liberal

policy of granting leave to amend, Plaintiff is granted 30 days leave to amend the complaint to cure the defects set forth above.

CONCLUSION:

The unopposed demurrer is overruled as to Plaintiff's sixth cause of action and sustained as to Plaintiff's first through fourth causes of action. The unopposed motion to strike is granted. Plaintiff is granted 30 days leave to amend.